Vertical SaaS market report 2026 — sizing

The addressable market for vertical workflow software in the segments Acme serves was $14.2 billion in 2025 and is forecast to reach $21.6 billion by 2028, a compound annual growth rate of 15 percent.

North America accounts for 54 percent of spend, EMEA 28 percent, APAC 13 percent and Latin America 5 percent. APAC is the fastest growing region at 22 percent a year, roughly half again the global rate, and it is the region where incumbent penetration is lowest.

Growth is concentrated in the enterprise tier. Buyers with more than 2,000 employees represent 31 percent of logos but 64 percent of spend, and their contracts renew at materially higher rates than the mid-market.

Median annual contract value across the sample was $61,000. The enterprise median was $248,000 and the small business median was $9,400.

Competitive landscape

Four vendors hold 46 percent of the market between them. The remainder is fragmented across more than 120 regional and niche providers, most with fewer than fifty customers.

The largest incumbent, Veritas Workflow, holds an estimated 19 percent share and competes on breadth rather than depth. Its renewal rate has fallen for three consecutive years as buyers unbundle.

Two venture-backed challengers entered the enterprise tier in 2025 with aggressive discounting, typically 30 to 40 percent below list on a three year commitment. Win rates against them improve sharply when the evaluation includes a production pilot.

Displacement cycles average eleven months in enterprise and four months in the mid-market. Vendors that land a second production use case inside the first year retain at roughly twice the rate of single use case deployments.

Pricing benchmarks and retention

List pricing has converged on per-seat models with a platform fee. The median platform fee is $24,000 a year and the median per-seat price is $38 a month, before discount.

Realized discount off list averages 22 percent overall and 34 percent in competitive enterprise deals. Multi-year commitments carry a further 8 point discount on average.

Median net revenue retention across the panel was 104 percent. Upper quartile vendors reached 121 percent, and every one of them reported more than one production use case per account as their leading indicator.

Gross retention tells a harsher story: the panel median was 88 percent, and vendors serving predominantly small business customers reported 79 percent. Logo churn in the enterprise tier is rare but expensive, with the median lost enterprise account representing 4 percent of a vendor's annual recurring revenue.